



Contractor Management Strategy

Vision

The strength of Rio Tinto's contractor management practices delivers year-on-year improvements to safety, productivity and cost performance outcomes.

Philosophy

Contractors, of all types, form a core part of the workforce required to deliver our business goals, and will continue to do so for the foreseeable future.

The effective end to end management of contractors has a direct and material influence on safety, productivity and cost outcomes.

The Contractor Management Strategy is focussed on developing and embedding the capabilities, effective practices and critical controls required to deliver full value to Rio Tinto.

Guiding principles

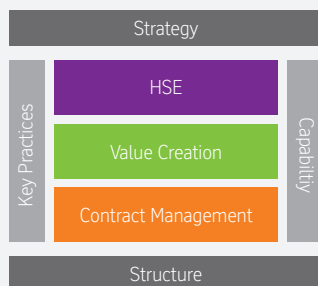
- Safety, value creation and contract management is the core focus.
- Leader accountabilities for those managing contractors must be formalised and clear.
- Capabilities to manage contractors requires experience, coaching and development.
- Behaviours have a profound impact on outcomes – desired behaviours must be rewarded.
- Agreements must be operable – front line is where execution occurs.
- Approach needs to be adjusted based on risk, value and levels of dependency (ad hoc versus embedded).

Strategy centered on three pillars

1	Embed the Structure to enable change	Establish key resources in each business unit, assisted by a small central team, to drive improvement through consistency of processes, assessment and performance measurement.
2	Value and build Capability	Training and coaching support provided for leaders to build the capabilities we need to effectively manage contractors. Case studies integrated within key leadership programmes to embed core principles.
3	Be great at Key Practices	Improve safety, productivity and cost outcomes by focussing on the four areas that will have the greatest impact and demand strong teamwork to be successful. Clear scope > Operationalise the contract > Verify the work > Evaluate performance.

Critical enablers

- Visible leadership
- One team mindset
- Supplier selection aligned to strategy
- Right number and mix of suppliers
- Clear responsibilities and processes
- Performance management
- Technology enabled



Measured by

- Improved safety performance
- Productivity measure combined with value delivery
- Compliance with contracts and benefits measured on outcomes
- Leaders' competency measured, tracked and improving
- Sustained improvement year-on-year across key attributes
- Rio Tinto reputation, PTO maintained/enhanced
- Strong process control outcomes (audit/lines of defence).

